

2021 M J V11

1-A:

A) Positive statement 1: Chinese economic growth exceeded US economic growth by 4.5% in 2015. This statement highlights the higher growth rate of the Chinese economy compared to the US economy.

Positive statement 2: Chinese economic growth was 0.7% less than that in India. This statement emphasizes the relatively higher growth rate of the Indian economy compared to China.

Therefore, option A is correct because it contains two positive statements based on the factual information provided in the question.

B) This statement contains a positive aspect (Chinese economic growth being more than double that in the US) but includes a subjective judgment ("disappointing") when comparing it to India. The use of the term "disappointing" makes the statement subjective rather than purely positive.

C) This statement only makes a comparison between the growth rates of India and the US, stating that India's growth was "better". The word , better is a "non-quantifiable adjective , thus making it a "normative statement" . It doesn't provide any specific figures or quantitative information, making it difficult to determine the positivity of the statement.

D) Economic growth in the US was too low in 2015, and economic growth in India was too high. This statement includes subjective judgments with terms like "too low" and "too high." It expresses opinions about the growth rates rather than providing factual information based on the given data, so it doesn't contain two positive statements.

2-A:

A) The reward given to factor of production "capital" is interest, thus making this correct.

B) The reward given to enterprise is "profit"

C) The reward given in return of land is "rent"

D) The reward given in return of labor is "wages"

3-A:

A) Demerit goods: Demerit goods are goods that have negative effects on individuals and society. These goods are often **over-consumed because of a lack of information** or awareness about their harmful consequences. Examples of demerit goods include tobacco, alcohol, and illegal drugs. Individuals may not fully understand the negative impacts of consuming these goods, leading to excessive consumption. This is why, key A, becomes correct.

B) Inferior goods: Inferior goods are goods for which demand decreases as income increases. These goods are typically of lower quality or lower-priced alternatives to other goods. The consumption of inferior goods is not linked to information failure but rather to changes in income levels.

C) Merit goods: Merit goods are goods that are considered beneficial for individuals and society. These goods are often under-consumed due to information failure or in other words, imperfections, that is, a lack of adequate, accurate, and appropriate information about the true value these goods present.

D) Public goods: Public goods are goods that are non-excludable and non-rivalrous in consumption. The consumption of public goods is not affected by information failure

4-B:

A) 'Ceteris paribus' does not refer to the equality of resource quality but rather to the assumption that all other factors or variables remain constant except for "one"

B) This option accurately captures the meaning of 'ceteris paribus.' It signifies that, while analyzing a specific relationship or variable, all other relevant factors are held constant or assumed to remain unchanged. This assumption helps isolate the effects of the variable under consideration. This is why, key B becomes correct. **Let's say you want to examine the relationship between the price of a product and the quantity demanded. To apply the ceteris paribus assumption, you would hold all other factors constant and focus solely on the impact of price on quantity demanded. For instance, you could assume that factors such as consumer income, consumer preferences, advertising efforts, and prices of related goods remain constant during the analysis.**

C). Ceteris paribus does not specifically focus on the price mechanism or the rationing of scarce goods.

D) The variable under consideration is held constant: This is incorrect as the variable under consideration can be varied only, and all others cannot be varied. **By isolating the variable of interest (price) and assuming that all other relevant factors remain unchanged, you can observe how changes in price affect the quantity demanded of the product.**

5-B:

A - An increase in firms' unit labor costs occurring from lowered labor productivity for example, will lead to a rise in the total costs of a firm, which will lead to a reduction in supply or in other words, a leftward shift in the supply curve.

B - An increase in the number of firms in the industry will increase the supply of the industry, **thereby causing a rightward shift in the market supply curve**, thereby making this option correct.

C - An increase in the price of a good as a result of a rise in demand, will cause an extension in quantity supplied, instead of bringing a shift in the market supply curve.

D - Imposition of indirect tax on the good will lead to a rise in the costs of production of the firm, leading to a leftward shift in the supply curve.

6-C:

Rationing is another function of price mechanism. Prices **ration scarce resources** when demand outstrips supply. When there is a **shortage**, price is bid up – leaving only those with **willingness and ability to pay** to buy.

C-The problem is that for some goods that have perfectly inelastic demand, for example; blood, the quantity demanded does not contract with response to an increase in price, thus by means of rises in prices, shortages cannot be eliminated, and prices cannot be used to ration scarce resources here in this case. This is why, this option becomes correct.

A- When the good has a number of close substitutes representing elastic demand, a rise in price by a smaller percentage will contract qty demand by a larger percentage, therefore prices can be used to ration scarce goods here.

B-Even in case of inferior goods, according to law of demand, a rise in price will contract qty demanded as consumers would now switch to superior substitutes.

D -When the good is in fixed supply representing perfectly inelastic supply, rises in price may still contract qty demand, therefore prices may be used as a rationing tool effectively, as now only those with sufficient willingness, ability or effective demand will be left to purchase the good.

7-A:Effective demand is when an individual has sufficient income or ability to purchase a good.

A-For a demand to be effective, a consumer must have the ability or in other words, sufficient income available to purchase the good. This is why, A is the answer.

B – It is not necessary for consumers to receive consumer surplus in order for the demand to be effective. There may still be an effective demand for goods that have a perfectly elastic demand, in whose case, there is an absence of consumer surplus.

C – It is not important for the good to be sold in the private sector in-order for the demand to be effective. It does not matter if the good is sold in the private sector or the public sector, all that is required is consumers having the ability to purchase the particular good and satisfy their demand for the demand to be effective.

D – A successful advertising demand may stimulate demand, but that demand will only be effective if an individual has sufficient income to purchase the good or service

8-C:

A-If coffee in general takes up a higher proportion of consumer's income ,its demand will be elastic. This is not what we need; we are interested in an option as a result of which the demand for coffee in general will be inelastic.

B:If consumers are loyal to a particular brand of coffee ,in that case the demand for coffee should be inelastic ; we are interested in an option as a result of which the demand for a particular brand of coffee is elastic ,thus making this option incorrect

C: This is an explanation of the factor i.e. the width of the definition of the product. If the product category is broadly defined for example: coffee in general , it will have relatively lesser substitutes for example: tea, therefore its demand will be inelastic. Whereas, if we define it narrowly, that is, talk about a particular brand of coffee, it will have greater substitutes of a similar quality and price because there are numerous brands of coffee that can be switched over to if the price of a brand changes relative to others, thus making the demand elastic. This is why , this is correct.

D: This does not explain any reason behind the PED of a particular brand of coffee being relatively higher as compared to that of coffee in general.

9-B:

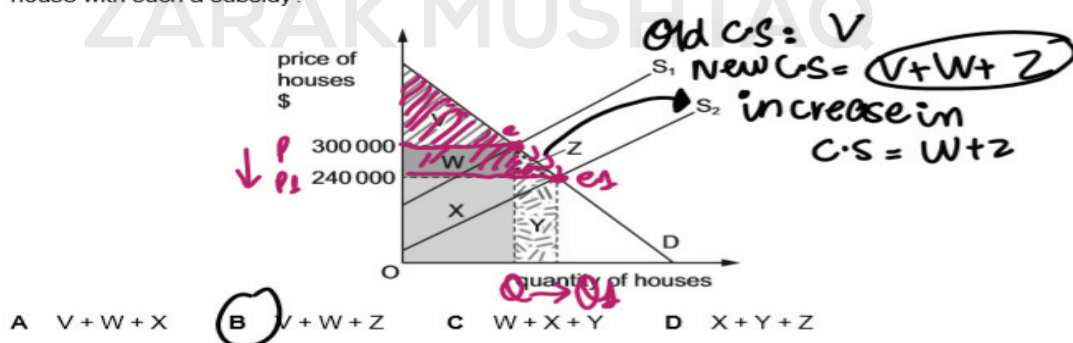
Consumer surplus is the difference between the maximum price a consumer is willing to pay for a good and the total price he ends up paying, that is , the market price.

It is recognized as the area under the demand curve, and above the market price.

The diagram below explains why key B will be correct

- 9 A government wishes to encourage young adults to buy their first home, by providing a subsidy to the builder.

Which area on the diagram represents the size of the consumer surplus to those who buy a house with such a subsidy?



10-A:

The calculation below explains why option A will be correct.

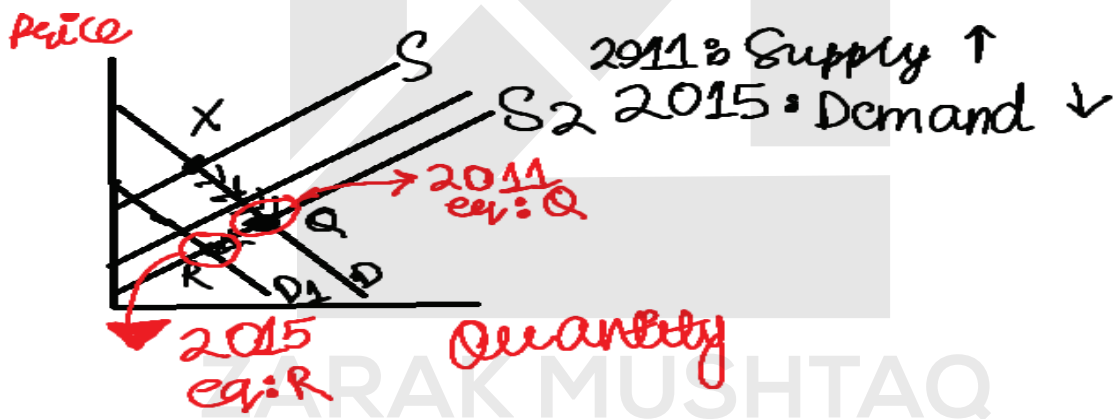
$$XED = \frac{\% \text{ change in } QD \text{ of good } Y}{\% \text{ change in price of good } X}$$

$$+0.4 = \frac{x\%}{-5\%}$$

$$0.4 \times (-5) = x$$

$$x = -2\% \Rightarrow \text{It will decrease by } 2\%$$

11-A:



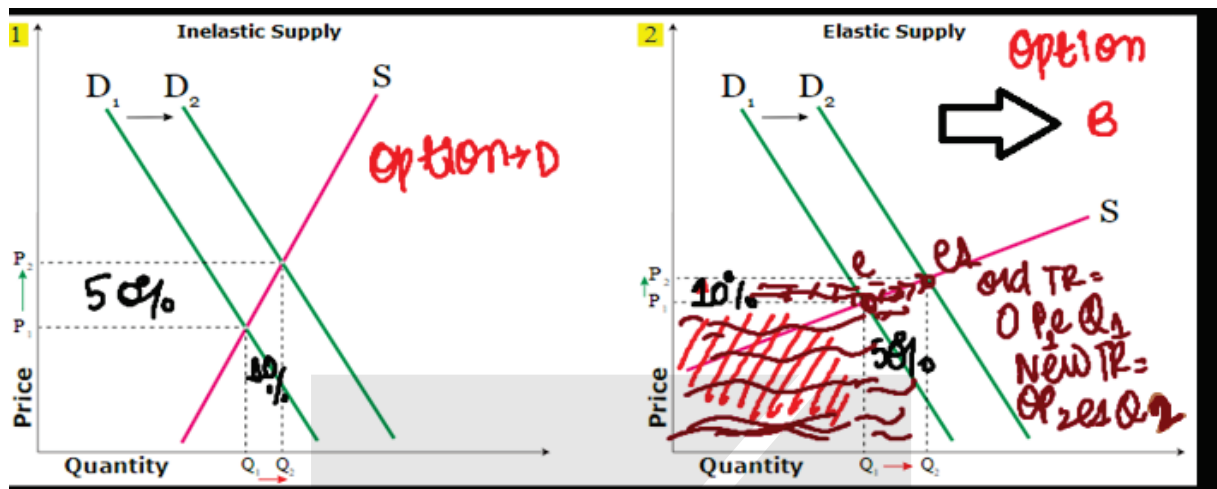
In 2011, there is an increase in supply as miners increased production, therefore an equilibrium point of Q was achieved.

In 2015, demand from the largest consumer, China decreased, this leads to a leftward shift in the demand curve and in turn an equilibrium point of R has been achieved.

This is why option A, that shows the series of equilibriums written in the bracket (X- Q - R) is the answer (note : X was the initial equilibrium)

12-B:

The diagram below explains why option B will be correct.



Elastic Supply (Graph #2):

When supply is elastic, then the percentage change in quantity supplied exceeds the percentage change in price. There is then an increase in total revenue

(Inelastic Supply- graph1)

When demand changes from D₁ to D₂, the percentage change in price exceeds the percentage change in quantity provided. There will be an increase in total revenue.

13-B:

First statement- Here you can see that first statement is correct, since car and bus are substitutes of each other, where an increase in price of one product may enhance the demand for other product. If government increases car parking charges, this may cause consumers to switch to buses, thereby resulting in more demand for bus travel.

Second statement- On the other hand, other official said that an increase in the frequency of bus will not cause the demand for bus to rise, which is incorrect, since increasing the frequency of buses will increase demand, as first and foremost, riders want buses to arrive more frequently. This rise in frequency will occur because of provision of more lanes for bus use only. Additionally, this will prevent problems of road blockages and traffic congestion, and the idea of reaching to their destinations on time will increase the demand for bus travel.

Therefore, option B that regards statement A as correct, and statement B as incorrect is right.

14-D:

A: This option describes the process of granting permission for immigrant workers to work in a country. It does not relate to the concept of **nationalization, which involves the transfer of company ownership to the government.**

B : This option describes a policy aimed at protecting domestic industries from competition from foreign companies or products through tools of protectionism .**This is not nationalization as the government is not taking control of the industry.**

C : This option refers to a situation where the government decides which goods should be produced. **This represents a feature of planned economy and not the process of nationalization.**

D : This option accurately defines nationalization. It involves the transfer of a privately-owned company or industry to government control. **In nationalization, the government acquires ownership and control over a company or industry.**

15-B:

A) This option describes a shift in government spending from one area (defense) to another (education). While this represents a change in government spending priorities, it does not specifically involve transfer payments. Transfer payments refer to payments made by the government to individuals or households without expecting any corresponding goods or services in return.

B) This option accurately represents an increase in transfer payments. Government pensions are typically provided as transfer payments, where the government distributes funds as a form of social assistance or support, without expecting any goods or services in exchange. This is why, this becomes correct.

C) This option describes an increase in government spending on infrastructure projects. Infrastructure spending is not classed as transfer payment since a contribution is made in the GDP because of infrastructural development.

D) This option refers to an increase in salaries for police officers. Salaries paid to government employees, such as police officers, are considered regular compensation for their services and are not classified as transfer payments. This is because, they are received in exchange of work done.

16-B:

A-When govt provides free hospital care , the supply of merit goods increases, instead of decreasing, thus making this incorrect.

B-When govt directly provides healthcare, that is a merit good, alongside private sector, **the supply of merit goods will increase**, making this correct.

C-Firstly, the supply is not supposed to decrease when govt provides healthcare. Secondly, healthcare is a merit good, which even though is classified under a private good, we cannot say that the supply of private goods increases, because private goods also comprise of demerit goods.

D: Healthcare is a merit good, which even though is classified under a private good, we cannot say that the supply of private goods increases, because private goods also comprise of demerit goods.

17-D:

We are interested in an option which is “not correct”

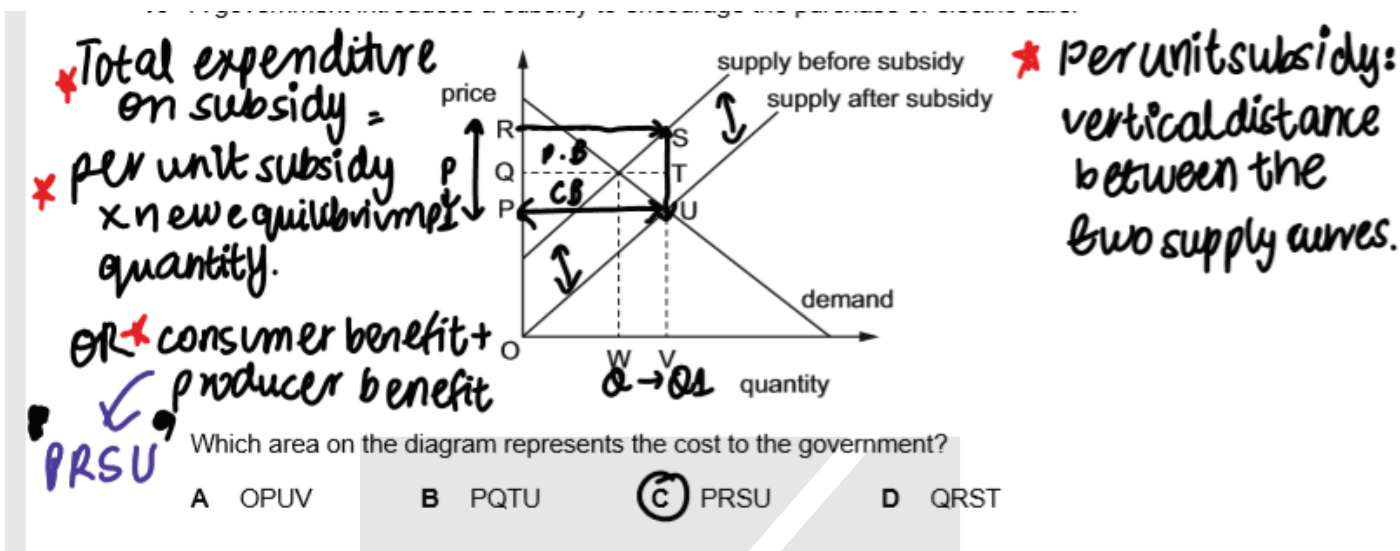
A - OP1 represents an effective minimum price, imposition of which will lead to prices being increased, as a result of which consumer surplus will decrease, in turn leading to a contraction in quantity demanded by a smaller percentage in case of basic necessity food items that have an inelastic demand ,leading to a **rise in the Total Expenditure of consumers**. Moreover, minimum price legislation brings about a surplus, and in any case if the surplus cannot be exported or sold timely, the perishable stocks of agricultural products which cannot be easily sold may rot, **thereby resulting in losses for farmers**. The producers, such as , farmers may also lose if the government has not promised to purchase surpluses through the buffer stock scheme. This statement is correct but the option becomes wrong since we are interested in an incorrect statement.

B – OP1 represents an ineffective maximum price as it is imposed above the equilibrium .This way, it cannot rise from this level ,but can fall back and in this case, back to the equilibrium, making price control ineffective and price-mechanism operational. This why all consumers would be unaffected as equilibrium prices would be maintained .This is again true ,therefore making this incorrect.

C – OP2 represents the equilibrium price level, therefore it is correct that no producers will gain if OP2 becomes the maximum price, which makes this option incorrect.

D – OP3 represents an effective maximum price, as a result of which prices will be lowered, and consumer surplus will rise, in-turn Total Expenditure of consumers will decrease. However, if we view it from the perspective of the producer, the producer surplus and the Total Revenue falls instead of “rising”, since qty supplied contracts, which means that producers **will not gain** because of this. This is why this option is correct

18-C:



19-D:

A) This option represents a purchase of insurance services by the Indian steel manufacturer. This would be recorded in the current account of India's balance of payments, specifically under the category of **Balance of trade**, since **imports of services is being done**.

B) This option describes the employment of foreign workers by the Indian steel manufacturer. The wages earned by the workers will be represented as outflows from the "primary income" section of the current account, thus making this incorrect.

C) This option describes the receipt of profits by the Indian steel manufacturer from its factories located in Europe. This represents an inflow of primary income, which will be recorded in the current account.

D) An Indian steel manufacturer supplies investment for a new factory in Europe: This option accurately represents a transaction that would be recorded in the financial account of India's balance of payments. It involves the Indian steel manufacturer providing investment, which represents a capital outflow from India to establish a new factory in Europe. This transaction falls within the scope of the financial account, as it involves a movement of capital across borders, thus making this correct.

20-D:

Unfavorable movement in terms of trade may occur when export prices are falling relative to import prices. This represents "depreciation" of the exchange rate.

A) This option suggests that an unfavorable movement in terms of trade would lead to the elimination of inefficient firms. This is incorrect as because of depreciation of the exchange rate, which shows a worsening TOT, the products of inefficient firms may appear competitive.

B) Terms of trade relate to the relative prices of a country's exports and imports, and they do not directly impact the quantity of goods available domestically. But, because of depreciation, when export-oriented goods become relatively competitive, and there is an extension in international qty demanded of exported goods by a relatively higher percentage when the demand for them is elastic, there will be lesser quantity of goods available for domestic consumption.

C) It would make domestically-produced goods more expensive than imports: This is incorrect as because of an unfavorable movement in a country's TOT, as mentioned above, the domestically produced goods would appear more competitive in export markets, as compared to imported goods, which now will appear relatively expensive.

D) This option correctly explains the potential benefit of an unfavorable movement in terms of trade. When a country's terms of trade become less favorable, its exports become relatively cheaper compared to imports, as a result of “**depreciation of the exchange rate.**” A depreciation in the exchange rate, may lead to export-oriented goods appearing relatively cheaper in the international market, and this global competitiveness may bring about an extension in the international quantity demanded of exported goods, and that too by a relatively higher percentage, when the demand for them is elastic, which leads to an increase in export-revenues, relative to import expenditures which fall because now imported goods appear relatively expensive, which results in a contraction in qty demanded of imported goods. This leads to a Balance of Trade Surplus, thus making this option correct.

21-B:

A – Because of depreciation of the exchange rate, imported goods would become relatively expensive, and therefore, local people bought less imported goods

B _ Because of depreciation of the exchange rate, exported goods would become relatively cheaper, therefore the price of fish, that is, an export-oriented commodity will fall in foreign markets, thus making this option correct.

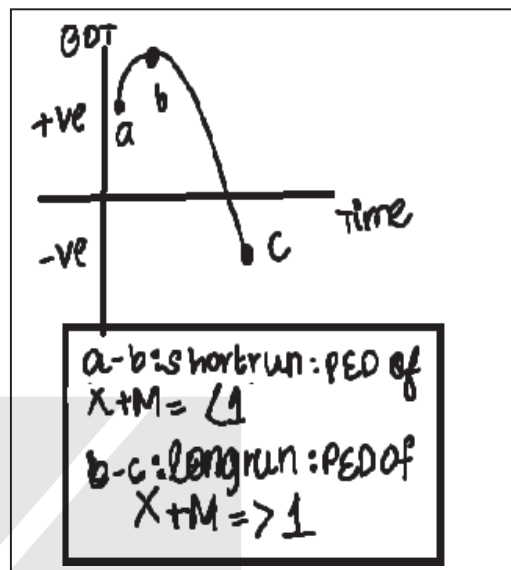
C – Because of a fall in the price of exported goods as a result of depreciation, the volume of exported goods would increase, rather than decrease, thus making it incorrect.

D_ Because of depreciation of the exchange rate, exported goods and services would become relatively cheaper, therefore the price of tourism services would fall, and tourists to the country would be encouraged because of lower prices.

22-D:

A) This option suggests that increasing the value of the foreign exchange rate would attract more tourists into the country. However, a higher exchange rate actually makes a country's goods and services more expensive for foreign visitors. This can potentially discourage tourism as it becomes relatively costlier for tourists to visit the country. Therefore, option A is incorrect.

B) This option implies that increasing the foreign exchange rate would lead to an improvement in the current account of the balance of payments in the long run. This is incorrect, and can be seen in the reverse j-curve on the left, that appreciation will lead to a Balance of trade surplus in the short-run, when the combined sum of ped of imports and exports is lesser than 1 (inelastic)



C) As can be seen on the right that appreciation leads to a **BOT deficit in the long run**, when the sum of elasticities of ped of imports and exports is greater than 1, and it will lead to net leakages from the circular flow, which will result in a fall in Aggregate demand, as a result of which, there will be a surplus or under-utilization of resources, because of which, there will be a fall in the general price level, or in other words, demand pull inflation will be controlled or reduced, thus making this incorrect.

D) This option correctly explains the reason for increasing the foreign exchange rate when the sum of the price elasticity of demand for imports and exports is greater than 1. An increase in the exchange rate can make imported raw materials **more-cheaper in terms of the domestic currency**. This can benefit domestic industries that rely on imported raw materials as it reduces their cost of production.

23-D:

23 The table shows the levels of a country's consumer prices index (CPI) between 2015 and 2019.

	CPI
2015	100
2016	99
2017	98
2018	101
2019	102

↓ -1% → deflation
 ↓ -1.01% → deflation
 ↓ 3.06% → inflation
 ↓ 0.99% → disinflation

Compared with the previous year, in which year was there disinflation but **not** deflation?

- A 2016 B 2017 C 2018 **D 2019**

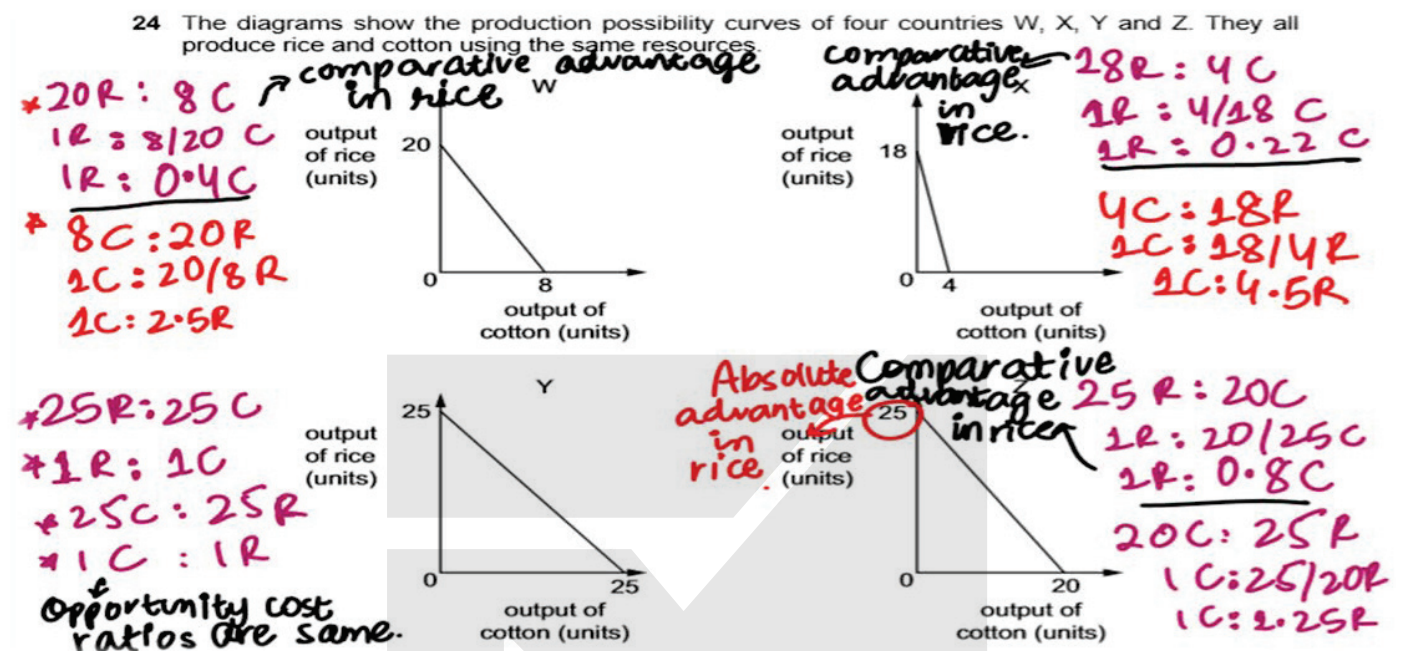
Deflation is a sustained and persistent fall in the general price level of an economy.

Between 2015-2016 and 2016-2017, deflation is occurring.

Between 2017-2018, inflation is occurring.

Between 2018-2019, prices are increasing but at a decreasing rate, which represents "disinflation". This is why, option D becomes correct

24-B:



The calculations above explain why option B is correct(X has a comparative advantage in production of rice), thus making it correct. It is also explained above that why other options will be incorrect.

25-C:

Government spending on an increase in welfare payments represent a rise in government expenditure, which results in a rise in Aggregate demand. And, an improvement in industrial training will increase productivity, and in turn reduce costs, which will result in a rise in Aggregate supply. Because of this, a new equilibrium point will be achieved from "X" to "C"

26-D:

-Because of imposition of quota, that is , a physical limit on imported goods that are allowed in a country, the volume of imports is restricted, as a result of which, individuals will be bound to purchase domestically produced goods. And as a part of expenditure switching policy, quota is certain to switch the expenditure of domestic residents from imported goods to domestic goods, therefore, it can be said with certainty that the **"domestic output" of tractors will rise.**

-Since, it is certain that the domestic output rises, and only option D says this, this is why, key D becomes correct.

-Although , , quota creates a shortage and raises prices **domestically**, the **import** prices remain unchanged unlike "tariffs".

27-D:

A : An increase in consumer saving will lead to a fall in consumption expenditure, resulting in a fall in Aggregate demand, and in turn reduction in demand pull inflation.

B: An increase in interest rates will increase the costs of borrowing ,and therefore reduce investment expenditure on production, which will result in a fall in Aggregate demand , and in turn reduction in demand pull inflation.

C: An increase in labor productivity will reduce costs, and will result in a rise in Aggregate supply, representing that cost push inflation is controlled.

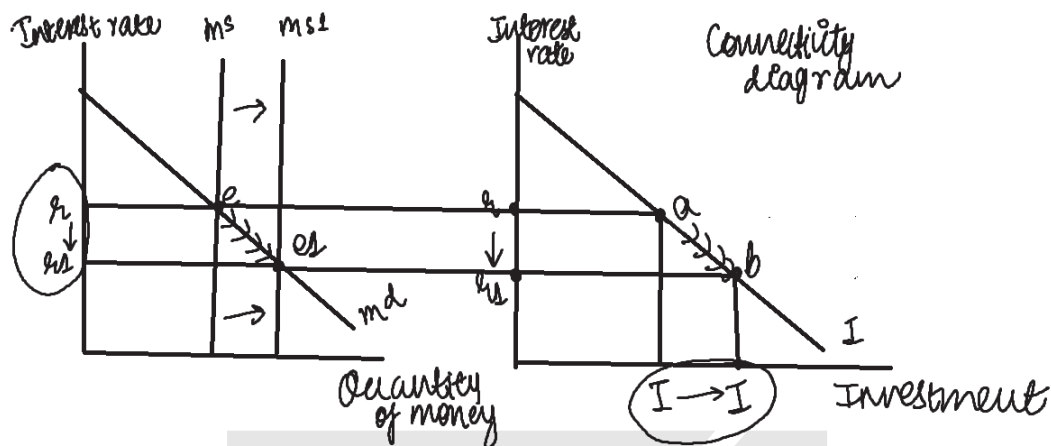
D: An increase in tariffs will raise the price of imported goods and when the demand for them is inelastic, in case of key raw materials, qty demanded will contract by a relatively smaller percentage, resulting in a rise in import expenditures. And, since this will cause a rise in costs, it will lead to a fall in Aggregate supply, representing a rise in cost push inflation. This is why, key D , becomes correct.

28-A:

A) In a deflationary environment, prices are falling, and consumers may delay spending in anticipation of even lower prices in the future. By encouraging savings over consumption, overall consumer spending will reduce, as a result of which, Aggregate demand will fall further, leading to the issue of deflation being exacerbated. This is why, this becomes correct.

B): Lowering profits tax and providing incentives for business start-ups can stimulate economic activity by promoting investment expenditure, which will lead to a rise in Aggregate demand, helping to bring a rise in general price level, that is , leading to “price stability” being restored after deflation.

C) An increase in money supply from m_s to m_{s1} (through buying back bonds previously issued by the government , will increase the quantity of money in circulation from Q to Q_1 , which will lead to a surplus of money being available with the bank, as a result of which the interest rate may be lowered from r to r_1 , in order to increase bank-lending. Because of a decrease in interest rates, the cost of borrowing may decrease, as a result of which firms may increase borrowing to finance capital expenditures and expansion, increasing investment expenditure on production from I to I_1 (as can be seen in the connectivity diagram in Fig 1), leading to an increase in Aggregate demand, because of injections in the circular flow. This may bring demand pull inflation when Aggregate demand outpaces Aggregate Supply, in other words, it will **help to restore price stability in a period of deflation.**



D) Promoting innovation in technical industries can lead to increased investment expenditure, which will again help increase Aggregate demand, leading to the economic activity being stimulated.

29-C:

The most likely option to bring a surplus from a deficit in the balance of payments when a country depreciates its currency is option C) The combined price elasticity of demand for exports and imports is -2.0 .

When a country depreciates its currency, it effectively lowers the price of its exports in terms of foreign currencies, making them more competitive and potentially increasing their demand. At the same time, it makes imports more expensive, which can reduce their demand.

If the combined price elasticity of demand for exports and imports is -2.0 , it means that a 1% decrease in the price level (due to currency depreciation) would lead to a 2% increase in the quantity demanded of exports (**by a relatively higher percentage than a fall in price**) and a 2% decrease in the quantity demanded of imports. (**by a relatively higher percentage than the rise in price**). This would **result in a rise in export revenues relative to import expenditures, resulting in a movement from a "deficit" to a "surplus" in both the Balance of Trade and the current account balance.**

This is because the Marshall Lerner condition is being satisfied, according to which, the sum of combined elasticities of demand of imports and exports must be greater than 1, for depreciation to be effective, thus making key C correct

The value of PED can never be in positive sign, because it represents a negative relationship between price and qty demanded, thus making key D incorrect.

The J-curve effect primarily focuses on the impact of price elasticity of demand (PED) on the balance of trade, after depreciation. It examines the short-term and long-run response of trade balance following a currency depreciation or devaluation, therefore

we are not interested in options pertaining to income elasticity of demand (thus making options A and B incorrect)

30-A:

A) Increasing government spending can stimulate the economy by increasing Aggregate demand and therefore increase production, demand for labor and reduce unemployment.

And devaluation will lead to a Balance of trade surplus in the long run, when the sum of combined elasticities of demand of exports and imports is greater than 1, or in other words, elastic. This is mentioned in depth in option C. Since both: a reduction in unemployment and an improvement in current account balance is occurring at the same time, this option becomes correct.

B) Increasing government spending can stimulate the economy by increasing Aggregate demand and therefore increase production, demand for labor and reduce unemployment. However, a revaluation of the currency would make exports more expensive and imports cheaper, which could worsen the current account deficit by increasing imports and decreasing exports, and that too, by a relatively higher percentage, when the sum of PED of imports and exports is greater than 1, in the long run. Therefore, this combination is unlikely to improve both unemployment and the current account deficit simultaneously.

C) Reducing government spending will reduce injections in the circular flow, resulting in a fall in Aggregate demand, in turn leading to a **rise in unemployment**. A devaluation of the exchange rate, may lead to export-oriented goods appearing relatively cheaper in the international market, and this global competitiveness may bring about an extension in the international quantity demanded of exported goods, and that too by a relatively higher percentage, when the demand for them is elastic, which leads to an increase in export-revenues, relative to import expenditures which fall because now imported goods appear relatively expensive, which results in a contraction in qty demanded of imported goods. This leads to a **"Balance of Trade Surplus"**. **Although, this will bring a rise in Aggregate demand, and in turn reduce unemployment, the net effect on unemployment will be uncertain, because simultaneously govt spending has reduced as well.**

D) A reduction in net spending by the government and a revaluation of the currency: Similar to option C, reducing government spending will increase unemployment. . A rising exchange rate can actually lead to imports becoming cheaper, leading to an extension in qty demanded of imports, leading to a rise in import expenditures relative to export revenues which fall since export-oriented goods become relatively expensive, which means that there will be a contraction in qty demanded of exports, therefore resulting in a Balance of Trade deficit.